The Taiwan Bubble Tea Market

Market Analysis, SWOT, 4P Marketing Mix and Strategic Recommendations

Final Report

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Executive Summary

Taiwan is the birthplace of bubble tea and still its most intense home market. In 2025, Taiwan's hand-shaken drink shops generated NT$60.43 billion in sales across 15,969 registered outlets, according to Ministry of Finance data [5]. The wider beverage-store sector (hand-shaken drink shops, coffee shops, juice bars, bars and teahouses) passed NT$130 billion for the first time in 2024 (NT$133.1 billion, +3.5%) and grew a further 7.2% in January to October 2025 [1][7]. Hand-shaken drink shops are the largest single group, accounting for 16,113 of the 28,788 beverage stores (56.0%) at the end of September 2025 [1].

The market is mature but not stagnant. Revenue continues to rise while the number of shops has flattened and even declined slightly (down 102 shops year on year in the first half of 2025) [6]. Growth now comes from higher prices and higher sales per store rather than from new outlets. Industry insiders say a new shop's fate is now "decided within three months" [4], and operators face rent, labour and ingredient costs that rose by roughly 12 to 18% between 2021 and 2024 [10].

Three forces define the competitive picture: (1) heritage chains such as 50 Lan and Ching Shin Fu Chuan, which hold the best locations and the strongest brand recall; (2) focused challengers such as Dejeng (Oolong Tea Project), Macu and Wootea, which win with a narrow, distinctive product line; and (3) convenience stores, which already hold about 10% of hand-shaken drink sales [4]. Regulation is tightening on sugar disclosure and single-use plastic cups [12][14], and health awareness is reshaping demand.

SWOT in one line: the industry's strengths are deep tea know-how, cultural identity and dense distribution; its weaknesses are low entry barriers, product imitation and thin unit margins; its opportunities lie in health-oriented products, digital membership and overseas growth; and its threats are rising costs, labour shortages, convenience-store and Chinese competitors, and sugar-related regulation.

4P recommendations:

- **Product:** build a "signature-first" menu around one or two hero items, with genuine low-sugar and no-sugar options whose labels are lab-verified.
- **Price:** move from flat price rises to value architecture: tiered cup sizes, bundles, and membership pricing that protects the NT$35 to NT$60 core while adding premium seasonal items.
- **Place:** combine prime-location stores with delivery, app pre-ordering and off-peak occasions (breakfast and late night), where convenience stores are now competing.
- **Promotion:** shift spending from discount-led promotion to owned channels (LINE, apps, Threads/Instagram), brand storytelling and data-driven personalisation powered by AI.

The report closes with a phased action plan and a set of AI applications, from demand forecasting to generative content and GEO (generative engine optimisation), that can help a Taiwanese tea brand defend margins at home and prepare for overseas expansion.

1. Introduction and Methodology

1.1 Background

Bubble tea (pearl milk tea, zhenzhu naicha) began in Taiwan in the 1980s and grew from tea stalls and teahouses into a national everyday habit. Today it is part of daily life and of

Taiwan's identity abroad: Taiwanese brands such as Chatime, Gong cha and CoCo operate thousands of stores worldwide [22][23]. At home the category is usually called shou-yao-yin, or "hand-shaken drinks", which covers freshly made tea drinks sold by the cup with or without tapioca pearls and other toppings.

This report analyses the Taiwanese domestic market for hand-shaken tea drinks from a marketing perspective. It aims to answer three questions:

1. How big is the market, how fast is it growing, and how is it structured?
2. What are the strengths, weaknesses, opportunities and threats facing bubble tea brands in Taiwan (SWOT)?
3. How do leading brands use the marketing mix (Product, Price, Place, Promotion), and what should a brand do next?

1.2 Scope and definitions

Official statistics use two overlapping definitions, which explains why figures differ between sources:

- **Beverage stores** (Ministry of Economic Affairs, MOEA): hand-shaken drink shops, ice and fruit shops, coffee shops, bars and teahouses. Revenue in 2024: NT$133.1 billion [1][7].
- **Hand-shaken drink shops** (Ministry of Finance business registration data): the narrower category that this report focuses on. Sales in 2024: NT$56.78 billion; in 2025: NT$60.43 billion [3][5].

Unless stated otherwise, "the market" in this report means hand-shaken drink shops in Taiwan. Packaged ready-to-drink teas sold in supermarkets are excluded, but convenience-store made-to-order tea counters are included in the competitive analysis because they compete for the same occasions.

1.3 Methodology

This is a secondary-research report. Data were drawn from 29 sources, including government statistics (MOEA, Ministry of Finance, Ministry of Environment), industry research (NielsenIQ via Business Next, Taiwan Trend Research, CRIF, TIER), academic research (National Taiwan University, Frontiers in Nutrition), global market reports (IMARC, Fortune Business Insights), company announcements and reputable news media. Where sources disagree, government data were preferred. All monetary figures are in New Taiwan dollars (NT$) unless noted. The analytical frameworks used are STP, Porter's Five Forces, PESTEL, SWOT and the 4P marketing mix.

2. Market Overview

2.1 Market size and growth

Taiwan's beverage-store sector has grown almost every year since 2005. The only declines came in 2020 and 2021 (-0.1% and -0.6%) during the pandemic. Revenue then rebounded by 11.9% in 2022 and 7.7% in 2023 [2], crossed NT$130 billion in 2024 and rose a further 7.2% in the first ten months of 2025, putting the full year on track for another record [1].

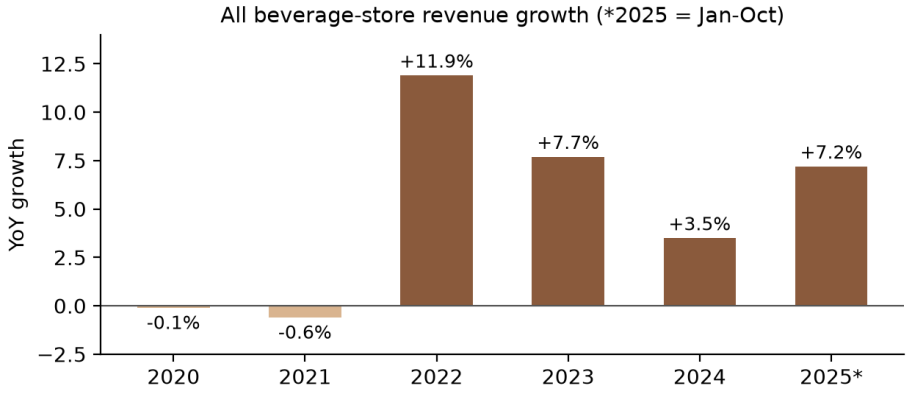


Figure 1. Year-on-year revenue growth of Taiwan's beverage stores, 2020 to 2025. Source: MOEA Department of Statistics [1][2].

Within this sector, hand-shaken drink shops are the core. According to Ministry of Finance data, their sales rose from NT$53.75 billion in 2023 to NT$56.78 billion in 2024 [3] and NT$60.43 billion in 2025 [5], a two-year increase of about 12%. Over the same period the number of shops rose from 15,387 to 16,049 and then slipped to 15,969 [3][5].

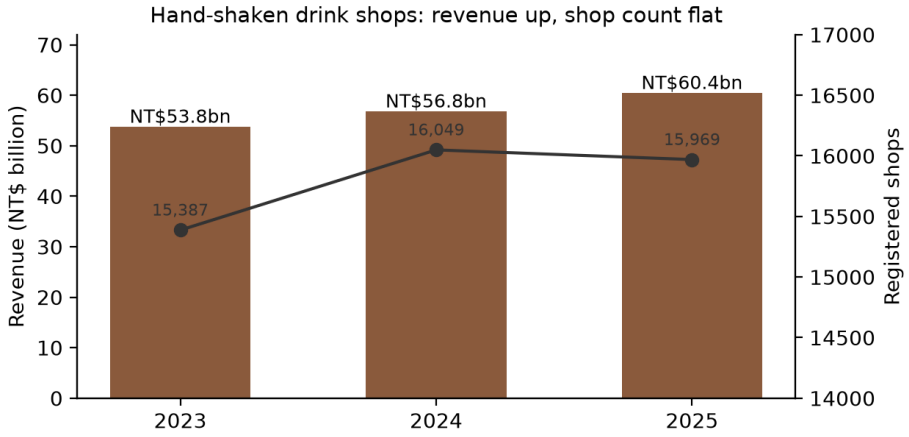


Figure 2. Hand-shaken drink shop sales and registered shops, 2023 to 2025. Source: Ministry of Finance data via Taiwan Trend Research [3] and TVBS [5].

> **Key insight:** Revenue is growing faster than the number of outlets. Average sales per shop rose from roughly NT$3.49 million in 2023 to about NT$3.78 million in 2025 (author's calculation from [3][5]). The market has shifted from a "land-grab" phase to a "productivity" phase, where winners grow by raising price per cup and cups per store.

2.2 Market structure

The market is highly fragmented. Starting a shop is relatively cheap: the Commerce Development Research Institute estimates an average start-up cost of NT$1.37 million, with gross margins of 50 to 70% [9]. Low barriers attract a constant stream of new entrants: between January 2023 and May 2024, hand-shaken drink shops opened at an average of 40.2 new shops per month, the fastest of any beverage-store type [2]. Exits are fast too, and Business Next reports that the lifespan of a new shop has shrunk from about six months to "three months to decide life or death" [4].

Concentration at the top is moderate. Ching Shin Fu Chuan is the largest chain by store count, with about 950 stores and NT$3 billion in 2024 revenue, followed by 50 Lan with more than 500 stores [8]. According to NielsenIQ's 2025 Taiwan hand-shaken tea report,

twelve brands each hold more than 2% market share, and three of them were founded within the last ten years [4]. In 2024, the top 10 beverage firms in CRIF's TOP5000 ranking had combined revenue of NT$42.03 billion [7], though that ranking includes packaged-drink makers.

2.3 Geography

Demand is strongest in southern Taiwan. Kaohsiung led the country in 2025 with NT$8.97 billion in hand-shaken drink sales, followed by Tainan (NT$8.25 billion), Taichung, Taipei and New Taipei [5]. In the first half of 2025, Kaohsiung alone had 2,993 shops, about one in five nationally [6]. By density, Tainan has 21.4 beverage stores per 10,000 residents, the highest of the six special municipalities, while Taipei has 12 per square kilometre [2]. The six special municipalities together hold about 70% of all beverage stores [2]. Warm year-round weather and lower rents explain much of the south's lead.

2.4 Seasonality

Sales follow two clear peaks: December to January, driven by Christmas, New Year and year-end gatherings, and July to August, driven by summer heat and school holidays [1]. Brands therefore concentrate new product launches and campaigns around these windows, and some raise prices temporarily during the Lunar New Year to cover holiday labour premiums.

2.5 Global context

Globally, the bubble tea market was valued at about US$2.9 billion in 2025 and is forecast to reach US$5.1 billion by 2034, a CAGR of 6.28% (IMARC) [20]. Fortune Business Insights gives a similar 2025 estimate of US$2.83 billion, with Asia Pacific holding 43.8% of the market [21]. These estimates use narrower definitions than Taiwan's official statistics, so they are not directly comparable, but they show that the category is still expanding internationally while Taiwan's home market matures.

3. Consumer Analysis and Segmentation (STP)

3.1 Consumption behaviour

Taiwan Trend Research surveyed 6,355 consumers aged 13 and over between June 2023 and March 2024 [3]. Its key findings were:

- **Frequency:** consumers who drank hand-shaken drinks in the past month drank an average of **10.4 cups per month**, roughly one every three days.
- **Flavour preference:** pure tea ranked first, followed by milk tea and fresh-milk tea, then fruit tea. Consumers aged 13 to 29 prefer milk tea; those aged 30 and over prefer pure tea.
- **Brand recall:** in unaided recall, 58.9% named 50 Lan first, with Ching Shin Fu Chuan second.
- **Purchase drivers (beyond price):** convenient location (45.1%) and hygiene (37.3%) ranked highest.

NielsenIQ adds a time-of-day view: more than 80% of hand-shaken purchases happen between lunch and dinner, while late night and breakfast account for only 13% [4]. Payments are going digital fast. In 2024, stored-value cards (EasyCard, iPASS) made up 22.7% of beverage-store revenue, cash 21.7%, and transfers including delivery platforms and online ordering 19.1%, up 10.4 percentage points since 2021 [1].

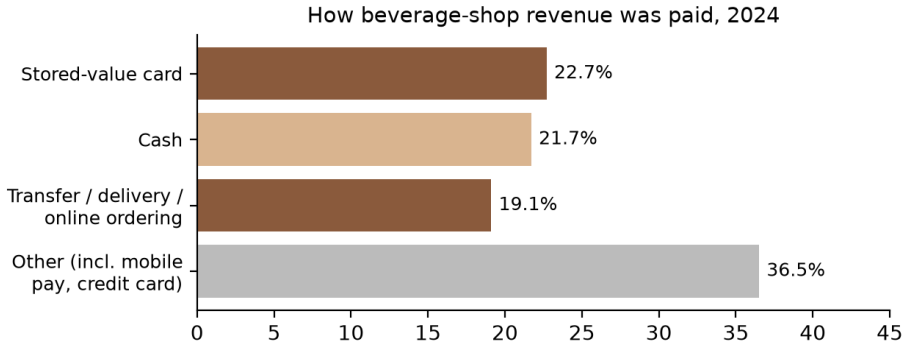


Figure 3. Payment methods as a share of beverage-store revenue, 2024. "Other" is the remainder, including mobile payments and credit cards. Source: MOEA [1].

Consumers are also less price-sensitive than in other dining categories. Industry experts quoted by Business Next describe a hand-shaken drink as an "affordable small luxury" (xiao que xing): even at NT$100 to NT$200 a cup, it is cheaper than most treats, so demand held up in 2025 while higher-end restaurants struggled [4]. Macu's avocado mango drink, priced near NT$100, sold three times as many cups as its regular version after launch [4]. At the same time, there are clear limits: online discussions in 2026 complained that NT$60 or more for a drink is "a luxury", and some consumers say they are switching to bottled tea or cold-brewing at home [19].

3.2 Segmentation

Based on the data above, the market can be divided into five practical segments:

Segment	Profile	Needs and behaviour	Price tolerance
Students and Gen Z (13 to 24)	High frequency, social-media driven, prefers milk tea and toppings	Novelty, IP collaborations, photogenic drinks, discounts and app points	Low to medium
Young professionals (25 to 34)	Office-based, orders by delivery or group order	Convenience, fresh milk, quality ingredients, consistency	Medium to high
Health-conscious adults (30+)	Prefers pure tea, low or no sugar	Tea origin, honest sugar labelling, caffeine information	Medium to high
Families and group buyers	Bulk office and family orders	Bundles, "buy 5 get 1", reliable delivery	Low to medium
Tourists	Seeking the "authentic Taiwan" experience	Iconic pearl milk tea, heritage brands, teahouse experience	High

Table 1. Consumer segments in Taiwan's bubble tea market. Source: author's analysis based on [3][4][1].

3.3 Targeting and positioning

Leading brands target different segments with clear positioning:

- **Mass value (all segments):** 50 Lan and Ching Shin Fu Chuan position themselves as reliable, affordable, everywhere. 50 Lan's northern-region pure tea costs NT$35 for a medium cup and its pearl milk tea NT$50 [28].
- **Specialist quality (professionals, health-conscious):** Dejeng focuses on oolong tea, and Kebuke on aged black tea, using a narrow menu to signal expertise.

- **Fresh fruit and seasonal (Gen Z, professionals):** Macu builds on seasonal fruit and limited editions [4].
- **Experience and heritage (tourists, premium):** Chun Shui Tang, which claims to have invented pearl milk tea, positions itself as a sit-down teahouse; its medium pearl milk tea costs NT$200 from November 2026 [17].

The most successful recent entrants share one lesson: **a clear position beats a broad menu**. Dejeng reached the No. 4 position in sales (excluding convenience stores) within five years with fewer than 200 stores, and its average sales per store are almost double the industry average [4].

4. Competitive Landscape

4.1 Key players

Brand	Founded	Scale (Taiwan)	Positioning and recent moves
Ching Shin Fu Chuan	1987	~950 stores; NT$3bn revenue (2024)	Largest by store count. Second-generation leadership rebranded the logo, introduced SOPs, audits and franchise management to fight an ageing image [8]. Raised prices on 52 drinks by NT$5 in July 2025 [18].
50 Lan	1994 (Tainan)	500+ stores [8]	Highest unaided brand recall (58.9%) [3]. Low prices, large menu, regional pricing across four operating regions [28].
Macu	n/a	About half the store count of the top two	No. 3 by market share; fruit-based drinks and seasonal limited editions [4].
Dejeng (Oolong Tea Project)	~2020	<200 stores	No. 4 by sales in five years; highest average sales per store; oolong-only focus [4].
Kebuke	2008	Nationwide chain	Aged black tea specialist; raised selected prices by up to NT$5 in April 2025 [18].
Wootea, Yi Mu Ri, Guiji	2010s	Fast-growing chains	Rising challengers built on hero items, e.g. Wootea's green tea jelly and almond jelly, Yi Mu Ri's grass rice cake topping [4].
Chun Shui Tang	1983	Teahouse chain	Heritage, sit-down experience; raised prices on 80%+ of items by an average of 12% in Nov 2026 [17].
Convenience stores (7-Eleven, FamilyMart)	n/a	~10% of hand-shaken sales	No. 4 overall by sales; FamilyMart rebranded its tea line as Let's Tea; 7-Eleven opened a street-front tea bar in Xinyi in 2025 [4].

Table 2. Major competitors in Taiwan's hand-shaken tea market. Sources as cited.

4.2 Porter's Five Forces

Force	Strength	Explanation
Threat of new entrants	High	Average start-up cost of NT$1.37m [9] and easy franchising keep barriers low; about 40 new shops opened per month in 2023 to 2024 [2].
Rivalry among competitors	Very high	16,000+ shops, multiple shops on one street, fast menu imitation, frequent discounts and collaborations [3][4].
Threat of substitutes	High	Packaged teas (tea is the top-selling packaged drink category [7]), coffee chains, convenience-store drinks and home cold-brew [19].

Bargaining power of buyers	Medium	Individual buyers are small but switching costs are near zero and location drives choice [3]. Delivery platforms add channel power.
Bargaining power of suppliers	Medium to high	Ingredient price spikes (e.g. cocoa led 50 Lan and Milksha to stop selling cocoa drinks in 2025 [18]); landlords of prime sites and scarce labour also hold power [11].

Table 3. Porter's Five Forces assessment. Source: author's analysis.

Overall, industry attractiveness is moderate to low for an average new shop, but higher for brands with differentiated products, strong locations and efficient operations. TIER describes the industry as having entered a "plateau" with rising downside risk, where competition is moving from speed of opening stores to control of supply chains, back-end standardisation and profitability [10].

4.3 Mini case: two routes to winning

> **Ching Shin Fu Chuan: renewing a heritage giant.** Founded in 1987, the chain grew to about 950 stores largely through franchising with informal, relationship-based management. When the second generation took over in 2017, they judged that further franchise growth was close to saturation and that the brand looked dated. Their response was internal before external: new audit, franchise and design departments, standard operating procedures across the network, and a simplified logo that kept the brand's smiling-heart symbol. The goal was to attract younger customers from the existing base rather than to add stores [8].
>
> **Dejeng (Oolong Tea Project): winning by focus.** Dejeng took the opposite route. It built a menu around one tea type, oolong, and reached fourth place in hand-shaken sales within about five years with fewer than 200 stores, earning the highest average sales per store in the industry, almost twice the average [4]. Consultants attribute this to a small menu that is easier to control for quality and easier to explain to consumers [4].
>
> **Lesson:** scale and focus are both viable, but each needs discipline. Large networks must invest in consistency and brand renewal; challengers must own a clear "category in the mind" of consumers.

5. Macro-Environment (PESTEL)

Factor	Key developments and implications
Political / Legal	Since 1 January 2021, chain drink shops, convenience stores and fast-food outlets must display total sugar and calories for each made-to-order drink, plus caffeine content and the origin of tea leaves [15]. In August 2025 the Commodity Tax Act was amended to exempt no-added-sugar packaged drinks from the 15% commodity tax [16], signalling policy support for low-sugar products.
Economic	Rising costs: rent, labour and ingredient costs rose 12 to 18% between 2021 and 2024 [10]. A wave of price rises followed in 2025 and 2026 (Kebuke, Guiji, Drinkstore, Ching Shin Fu Chuan, Chun Shui Tang) [17][18]. Consumer confidence fell 2.5 points in October 2026, and willingness to buy durable goods hit a 17-year low [25], which may push consumers towards small, affordable treats.
Social	Health awareness is rising. A National Taiwan University study found that 85.6% of hand-shaken drinks contained more sugar than labelled, and 55.6% of "sugar-free" teas contained sugar residues; a 700ml half-sugar drink contained 46.5g of sugar on average, close to the WHO daily limit of 50g [14]. Meanwhile, hand-shaken drinks remain a daily ritual and a source of national pride.

Technological	Beverage shops are more digital than the restaurant sector overall: in 2023, 84.1% used POS systems, 70.6% ran social media, 65.9% accepted mobile payments and 57.1% were on delivery platforms [2]. Automated tea-brewing and smart dispensing are emerging as answers to labour shortages; Gong cha, for example, is rolling out digital kiosks and new beverage-dispensing technology [23].
Environmental	Single-use plastic drink cups have been banned at drink shops nationwide since September 2024, cutting about 790 million plastic cups per year [12]. Since July 2022, chains must offer at least NT$5 off for customers who bring their own cup [13]. Reusable cup-sharing schemes are expanding.

Table 4. PESTEL analysis of Taiwan's bubble tea market. Sources as cited.

The labour situation deserves special attention. According to MOEA's 2025 survey of the wholesale, retail and food-service sectors, three of the top five challenges cited by food-service operators were labour-related (shortages, high personnel cost and high turnover), each cited by around 60% of firms [11]. This structural constraint will shape operating models for years.

6. SWOT Analysis

The SWOT below takes the perspective of an established Taiwanese bubble tea chain competing in the domestic market.

Strengths

- Origin advantage: Taiwan is the birthplace of bubble tea, giving authenticity at home and abroad.
- Deep tea expertise and a strong local tea and topping supply chain.
- Dense store networks and high brand recall for leaders (50 Lan at 58.9% unaided recall) [3].
- Habitual demand: an average of 10.4 cups per month among drinkers [3].
- High gross margins of 50 to 70% [9] and resilience in downturns as an "affordable luxury" [4].
- Above-average digital adoption (POS, mobile payment, delivery) [2].

Weaknesses

- Low entry barriers and rapid copying of new products.
- Thin net margins once rent and labour are paid: one industry estimate puts profit at under NT$5 on a NT$60 cup [19].
- Heavy dependence on franchisees, making quality and service consistency hard to control [8].
- Ageing brand image for some heritage chains [8].
- Sugar labels that often understate actual sugar, a credibility risk [14].
- Limited process innovation: experts note little breakthrough in brewing technology in recent years [4].

Opportunities

- Health trend: verified low-sugar, no-sugar, fresh milk and functional teas; policy support for no-added-sugar drinks [16].
- Premiumisation: consumers will pay near NT$100 for compelling seasonal items [4].
- New dayparts: breakfast and late night are only 13% of purchases today [4].
- Digital membership, delivery and online ordering, now 19.1% of payments and rising [1].
- AI and automation to lower labour dependence and personalise marketing.
- Overseas expansion: global market growing at about 6 to 8% per year [20][21]; Chatime's owner La Kaffa earns up to 60% of its earnings abroad [22].

Threats

- Rising rent, labour and ingredient costs (12 to 18% in 2021 to 2024) [10].
- Labour shortages and high turnover [11].
- Convenience stores with 24-hour access, already 10% of sales [4].
- Price fatigue: consumer backlash as drinks pass NT$60 [19]; weak consumer confidence [25].
- Stricter sugar regulation or a possible future sugar tax; reputational damage from labelling studies [14].
- Chinese chains such as Mixue and Chagee scaling rapidly in overseas markets where Taiwanese brands expand [24].

Table 5. SWOT analysis. Source: author's analysis based on cited sources.

6.1 Strategic implications (TOWS)

- **SO (use strengths to seize opportunities):** leverage tea expertise to launch verified low-sugar "real tea" lines that meet health demand and policy direction; use Taiwan-origin authenticity as the core story overseas.
- **WO (fix weaknesses through opportunities):** use AI-driven demand forecasting and automated brewing to cut labour dependence and protect thin margins; use membership data to reduce reliance on blanket discounts.
- **ST (use strengths to counter threats):** compete with convenience stores on freshness, customisation and craft, not on price; use dense store networks for fast delivery.
- **WT (minimise weaknesses and avoid threats):** standardise franchise operations and sugar-dosing (e.g. automatic sugar dispensers) to avoid regulatory and reputational risk; close underperforming stores rather than chasing store counts.

7. 4P Marketing Mix Analysis

This section reviews how Taiwanese bubble tea brands currently use each element of the marketing mix, assesses what works, and offers recommendations.

7.1 Product

Current practice

- **Wide customisation:** customers choose sugar level (from full sugar to no sugar), ice level, size, and toppings such as pearls, coconut jelly, pudding or grass jelly. Customisation is a core part of Taiwan's offer and a key difference from packaged drinks.
- **Hero items and focused menus:** challengers win with signature products, e.g. Wootea's almond and green tea jelly, Yi Mu Ri's grass rice cake and Dejeng's oolong range [4].
- **Seasonal and limited editions:** Macu releases new fruit combinations each season; its avocado mango drink outsold the standard version three to one [4].

- **Quality upgrades:** fresh milk instead of creamer, tea origin disclosure, and caffeine labelling.
- **New product development is the top business priority:** in May 2025, 73.4% of beverage stores named "developing new products" as their main future plan, and 70.6% named strengthening food safety [1].

Assessment

Product innovation drives traffic, but it is easily copied, and many new flavours are short-lived. The strongest product strategies combine a stable, recognisable core with a controlled rhythm of limited editions. Sugar accuracy is the weak spot: academic studies show that only 42 of 60 brands surveyed in northern Taiwan displayed sugar information in an obvious, accessible way [29], and NTU found widespread under-labelling [14].

Recommendations

1. **Signature-first portfolio:** keep a core menu of 15 to 25 items built around one or two hero drinks that define the brand; rotate four seasonal limited editions per year aligned with the July to August and December to January peaks.
2. **Verified "better-for-you" line:** introduce lab-tested low-sugar and zero-sugar options, with sugar dispensed by automatic machines and labels audited by a third party. Turn accuracy into a trust signal.
3. **Functional and local ingredients:** Taiwanese-origin teas (Alishan oolong, Sun Moon Lake black tea), plant-based milks and lower-calorie toppings to reach health-conscious adults.
4. **Sustainable packaging:** paper and fibre cups, reusable cup programmes, and rewards for bring-your-own cups, building on the NT$5 rule [13].

7.2 Price

Current practice

- **Tiered price bands:** pure tea at around NT$35 to NT$40, milk teas at NT$50 to NT$60, and fresh-milk or fruit specials at NT$60 to NT$85 at 50 Lan's northern stores [28]. Premium teahouses reach NT$200 [17].
- **Regional pricing:** chains charge NT$5 to NT$10 less in central and southern Taiwan; e.g. a large Ching Shin Fu Chuan pearl milk tea went from NT$50 to NT$55 in the south and NT$55 to NT$60 in the north [18].
- **Small, frequent price rises:** most 2025 increases were NT$5 per cup across Kebuke, Guiji, Drinkstore and Ching Shin Fu Chuan [18]; Chun Shui Tang raised prices by an average of 12% in November 2026 [17].
- **Promotions:** "buy 5 get 1", second-cup discounts, delivery coupons and membership points.
- **Regulated discount:** at least NT$5 off for bringing your own cup [13].

Assessment

Pricing reflects a classic cost-plus approach under pressure. One widely discussed industry breakdown of a NT$60 drink estimates rent at NT$20, wages at NT$20, utilities at NT$5 and ingredients at NT$10, leaving under NT$5 profit [19]. Demand is relatively inelastic for good products [4], yet consumers are starting to push back on headline prices above NT$60 [19]. Heavy discounting risks training customers to wait for promotions.

Recommendations

1. **Protect an "entry price" anchor:** keep a few signature pure teas at NT$35 to NT$45 to defend value perception and compete with convenience stores.
2. **Value-based premium tier:** price seasonal and fresh-fruit items at NT$80 to NT$120 based on perceived value, not cost.
3. **Membership pricing instead of blanket discounts:** use personalised offers (e.g. a free topping for a lapsed customer) to target promotions where they change behaviour.
4. **Smart off-peak pricing:** modest discounts in slow hours (e.g. 9 to 11 am) to fill capacity, using sales data to set the timing.
5. **Transparent communication:** when raising prices, explain the reason (tea quality, fresh milk, staff wages), as Kebuke and Chun Shui Tang did in their announcements [17].

7.3 Place (Distribution)

Current practice

- **Dense street-front networks:** heritage brands hold most "golden" high-traffic commuter locations [4]. Location convenience is the No. 1 purchase driver (45.1%) [3].
- **Franchise-led expansion:** most chains grow through franchisees, with regional operating companies (50 Lan has four regional operations) [28].
- **Delivery platforms and online ordering:** 57.1% of beverage shops were on delivery platforms in 2023 [2], and transfer payments including delivery rose 10.4 points from 2021 to 2024 [1].
- **Convenience-store competition:** 7-Eleven and FamilyMart offer made-to-order tea 24 hours a day, holding 10% of the market [4].

Assessment

Physical location still matters most, but prime sites are expensive and mostly taken. Store counts have peaked, and new outlets fail quickly. The opportunity lies in getting more revenue from each location through multiple channels and dayparts.

Recommendations

1. **Quality over quantity:** use data (foot traffic, delivery heat maps) to select sites and close weak stores. Dejeng shows that fewer, stronger stores can outperform [4].
2. **Omnichannel ordering:** a branded app or LINE ordering for pick-up, which saves delivery commissions and captures customer data.
3. **Small-format and kiosk stores:** at MRT stations, universities and office buildings to target commuting occasions at lower rent.
4. **New dayparts:** breakfast tea-and-snack combinations and late-night outlets near night markets, competing directly with convenience stores.
5. **Overseas expansion via master franchise:** follow Chatime and Gong cha's model, but with a strong Taiwan-origin story and tight quality control [22][23].

7.4 Promotion

Current practice

- **Co-branding and influencer collaborations:** MOEA credits partnerships with other industries and with influencers and celebrities for pushing 2024 revenue above NT$130 billion [1].

- **Social media:** 70.6% of beverage shops manage social media accounts [2]; Threads and Instagram help niche brands build loyal followings.
- **Sales promotion:** buy-one-get-one, second-cup discounts, app points and delivery coupons.
- **Experiential marketing:** scent sampling, limited merchandise and pop-up events; experts say "the market is not short of drinks, it is short of memorable points" [5].
- **Brand refresh:** Ching Shin Fu Chuan simplified its logo and rebuilt its visual identity to attract younger customers [8].

Assessment

Promotion is energetic but often tactical and discount-led. Collaborations create short spikes but are easy for competitors to copy. Brand storytelling and loyalty, rather than one-off discounts, are emerging as the decisive factors [5].

Recommendations

1. **Build a brand story:** communicate tea origin, craft and the people behind the drink. Use short-form video to show tea sourcing and brewing.
2. **Owned media first:** grow LINE Official Account and app membership; use first-party data to target offers instead of mass discounts.
3. **Selective IP collaborations:** two or three high-impact collaborations per year aligned with the seasonal peaks, each designed to bring in new members.
4. **User-generated content:** campaigns that reward customers for sharing photos and reviews on Threads, Instagram and Google Maps.
5. **Health and sustainability messaging:** promote verified sugar labels and reusable cups as reasons to choose the brand.

7.5 4P summary

P	Current industry practice	Recommended direction
Product	Broad customisable menus; frequent new flavours and IP tie-ins; hero toppings among challengers; sugar labels often inaccurate	Signature-first menu of 15 to 25 items; four seasonal editions a year; lab-verified low and zero-sugar line; Taiwanese-origin teas; sustainable cups
Price	NT$35 to NT$85 core bands; regional pricing; NT$5 cost-driven rises; heavy "buy 5 get 1" and second-cup discounts	Protected entry-price anchor; value-based premium tier; personalised member offers instead of blanket discounts; off-peak pricing; transparent price communication
Place	Dense franchise street stores in prime sites; delivery platforms; growing convenience-store rivalry	Data-led site selection and pruning; own app and LINE pre-ordering; kiosks at MRT, campuses and offices; breakfast and late-night formats; overseas master franchise
Promotion	Celebrity and IP collaborations; social media; discount-led sales promotion; experiential pop-ups	Brand storytelling on tea origin and craft; owned media and first-party data; fewer, bigger collaborations; UGC campaigns; health and sustainability messaging

Table 6. Summary of the 4P analysis. Source: author's analysis.

8. The Role of AI in Bubble Tea Marketing

Because this report is for a course on marketing and advanced AI, this section considers how artificial intelligence can address the specific challenges identified above: thin margins, labour shortages, product imitation and the need for differentiation.

AI application	How it works	Problem addressed
Demand forecasting	Machine-learning models predict cups by hour, store and product using POS history, weather, holidays and local events.	Waste, staffing costs, stock-outs during seasonal peaks [1]
Personalised CRM	Recommendation engines in apps or LINE suggest drinks and offers based on each member's history (e.g. a low-sugar suggestion for a customer who always orders 30% sugar).	Reliance on blanket discounts; loyalty
Dynamic menu and pricing	Algorithms adjust digital menu boards and app offers by time of day, inventory and weather.	Off-peak demand (breakfast and late night only 13% of sales [4])
Site selection	Geospatial AI combines foot traffic, competitor density, delivery orders and rent to score potential locations.	High failure rate of new shops [4]
Automated brewing and sugar dosing	Smart machines brew tea and dispense precise sugar and toppings.	Labour shortages [11]; sugar label accuracy [14]
Generative AI content	Rapid creation of social posts, short videos, menu descriptions and multilingual material for tourists and overseas franchisees.	Content costs; speed of seasonal campaigns
Social listening and trend detection	NLP tools scan Threads, Instagram, Dcard and PTT to detect emerging flavours and complaints early.	Speed of trend cycles and product imitation
GEO (generative engine optimisation)	Ensuring the brand is accurately described and recommended by AI assistants and AI search, especially for tourists asking "best bubble tea in Taipei".	Visibility as discovery shifts to AI tools

Table 7. AI applications for bubble tea brands. Source: author's analysis.

Two points are critical for implementation. First, AI depends on data: brands must first unify POS, app, delivery and social data, which is easier for chains with strong headquarters control than for loosely managed franchise networks. Second, AI should strengthen the brand's human and craft story rather than replace it. In a category where "memorable points" matter [5], automation should free staff to focus on hospitality and quality.

9. Strategic Recommendations and Action Plan

9.1 Strategic direction

Based on the analysis, the recommended strategy for a mid-to-large Taiwanese bubble tea chain is **"focused differentiation with digital efficiency"**: compete on a clear signature product and trustworthy health credentials rather than on price or store count, and use data and AI to protect margins.

9.2 Phased action plan

Phase	Key actions	KPIs

Phase 1 0 to 6 months Foundation	Define hero products and trim the menu; audit sugar labels with a third-party lab; launch a unified membership programme on LINE and app; integrate POS and delivery data.	Menu items reduced by 20 to 30%; 100% label compliance; members reach 20% of transactions
Phase 2 6 to 18 months Optimisation	Deploy AI demand forecasting and scheduling; pilot automated brewing and sugar dosing in high-volume stores; launch verified low-sugar line; test breakfast and late-night formats; shift promotion budget from discounts to personalised offers.	Food waste down 15%; labour hours per cup down 10%; same-store sales up 5%; discount spend down as share of sales
Phase 3 18 to 36 months Expansion	Roll out proven formats; close or relocate weak stores using AI site scoring; prepare an overseas master-franchise package (Southeast Asia or North America) built on Taiwan-origin storytelling.	Average sales per store above industry average; first overseas partner signed; brand recall gains among 18 to 34s

Table 8. Recommended action plan. Source: author's analysis.

9.3 Risks and mitigation

- **Price backlash:** keep entry-price items and communicate the value behind price changes.
- **Franchisee resistance to technology:** pilot in company-owned stores first, share savings with franchisees, and provide training.
- **Data privacy:** obtain clear consent for membership data and comply with Taiwan's Personal Data Protection Act.
- **Overseas competition from Chinese chains:** avoid low-price battles with chains such as Mixue; differentiate on authenticity and tea quality, as Chagee has chosen to do with premium positioning [24].

10. Conclusion

Taiwan's bubble tea market remains large, profitable at the gross-margin level and culturally central, with hand-shaken drink shop sales reaching NT$60.43 billion in 2025 [5] and the broader beverage-store sector heading for another record [1]. However, the market has entered a mature stage: the number of shops has stopped growing, competition is intense, costs are rising and regulation on sugar and plastic is tightening.

The SWOT analysis shows that Taiwanese brands still hold powerful strengths, namely authenticity, tea expertise and habitual demand, but must address low barriers, imitation and thin margins. The 4P analysis suggests that winners will be brands that: offer a focused, signature product with credible health options; use value-based pricing and membership rather than blanket discounts; extract more from each location through omnichannel ordering and new dayparts; and replace tactical promotion with brand storytelling and data-driven engagement.

Artificial intelligence is not a substitute for a great cup of tea, but it can be a decisive enabler, helping brands forecast demand, cope with labour shortages, label sugar accurately, personalise marketing and be discovered in an AI-mediated world. For Taiwan's bubble tea industry, the next stage of growth will come less from opening more shops and more from building smarter, more trusted brands at home and abroad.

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